Protections/Restrictions available to Union and States on taxation

As per Article 274 amendments or bills to impose or vary taxes and duties assigned to the states or proceeds of them payable out of Consolidated Fund of India to the States shall not be introduced without prior recommendation of the President. The property and income of the state incidental to the ordinary functions of Government is exempted from tax imposed by Union Government. However, income and property related to trade or business carried on by or on behalf of the state government is not exempt from taxation of Union.

By Article 286 the states are restricted from imposing tax on sale or purchase of goods outside the state and on export and import.

A state cannot impose tax on water or electricity stored, generated, consumed, distributed or sold by any authority established by law of the Parliament for regulating or developing any interstate river or river- valley without assent of the President.

The properties of the Union are not subject to property tax levied by the States or any other authority as per Article 285. The state government cannot impose tax on the electricity consumed by or sold to Government of India and the Railways (Article 287).

Devolution of Tax Revenue

Devolution of tax means sharing of tax revenue of Centre with the States. It is visible that most of the taxes which are capable of yielding more revenue are in the Union list apart from GST. The GST divided the tax jurisdiction of indirect taxes equally between the Centre and the state. However all put together the tax revenue of the Centre is more than that of the states. At the same time socio economic expenditure to be incurred by the states are more compared to the